

Contestant Number: _____

Time: _____

Rank: _____



FUNDAMENTAL ACCOUNTING (100)

STATE 2023

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Account Identification (15 @ 3 points each) _____ (45 points)

Short Answer (16 @ 3 points each) _____ (48 points)

Job 1 – Financial Analysis (16 @ 3 points each) _____ (48 points)

Job 2 – Analyzing Special Journal Transactions _____ (45 points)

TOTAL POINTS _____ **(246 points)**

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. What balance does every revenue account start each new year with?
 - A. A zero balance
 - B. The balance shown on the Income Statement in the prior year.
 - C. A credit balance
 - D. A debit balance
2. What is the calculation for net sales?
 - A. Sales + Sales Discount – Sales Returns
 - B. Sales – Sales Discount – Sales Returns
 - C. Sales – Sales Discount – Sales Returns – Sales Tax Payable
 - D. Sales – Sales Discount + Sales Returns
3. Which of the following transactions would affect only the assets of the business?
 - A. Investment of Capital through selling of stock
 - B. Purchase of merchandise on account
 - C. Paying off a vendor that is owed money
 - D. Receiving cash from a customer that owes you money
4. The total of all vendor account balances should equal the balance of the _____ account.
 - A. Accounts Receivable
 - B. Accounts Payable
 - C. Purchases
 - D. Supplies
5. An independent accountant who provides accounting services to the public for a fee is known as a _____.
 - A. Certified Public Auditor
 - B. Certified Private Accountant
 - C. Certified Private Auditor
 - D. Certified Public Accountant
6. If terms of sale are 3/10, n/30, what does the 3 represent?
 - A. The number of days required to earn the discount.
 - B. The dollar reduction in the amount owed paid within 10 days.
 - C. The percentage of reduction in the amount owed if paid within 10 days.
 - D. The percentage of reduction in the amount owed if paid within 30 days.

7. Which of the following is a permanent account?
 - A. Dividends
 - B. Income Summary
 - C. Gain on Plant Assets
 - D. Allowance for Uncollectible Accounts
8. Preparing a Balance Sheet with the expectation that a business will continue its operations is an application of what accounting concept?
 - A. Going Concern
 - B. Business Entity
 - C. Matching Expenses with Revenue
 - D. Historical Cost
9. How do you calculate Gross Profit?
 - A. Revenue minus Cost of Goods minus Expenses
 - B. Revenue plus Cost of Goods minus Expenses
 - C. Revenue minus Cost of Goods
 - D. Revenue minus Cost of Goods minus Goods Available for Sale
10. What is the time period used to distinguish current from plant assets?
 - A. One month
 - B. Six months
 - C. One year
 - D. Three years
11. Who pays Social Security and Medicare taxes?
 - A. Only employees
 - B. Only employers
 - C. Neither employers nor employees
 - D. Both employers and employees
12. What is typically the last closing entry for a corporation?
 - A. Close Net Income to Retained Earnings
 - B. Close Capital Stock to Retained Earnings
 - C. Close Income Summary to Retained Earnings
 - D. Close Dividends to Retained Earnings
13. A contra revenue will _____.
 - A. Increase Net Sales for the period.
 - B. Increase Gross Profit for the period.
 - C. Decrease Net Income for the period.
 - D. Decrease Cost of Goods Sold for the period.

14. If assets are not adjusted _____.
- Net Income will be understated.
 - Net Income will be overstated.
 - Gross profit will be understated.
 - Gross Profit will be overstated.
15. Merchandise worth \$800 is sold in a state with a 6.5% sales tax. What is the credit to Sales?
- \$52
 - \$748
 - \$800
 - \$852
16. The Purchases Journal is used to record _____.
- only purchases of merchandise on account.
 - all purchases of merchandise.
 - only purchases of supplies and merchandise on account.
 - all purchases of supplies and merchandise.
17. The amount of merchandise shown in the Balance Sheet column of the Work Sheet is equal to the _____.
- beginning balance of Merchandise Inventory.
 - ending balance of Merchandise Inventory.
 - amount of Merchandise purchased during the period.
 - amount of Merchandise sold during the period.
18. Which of the following describes Accounts Receivable?
- Controlling Account
 - Subsidiary Account
 - Contra Account
 - Temporary Account
19. What type of business pays Federal Income Tax?
- Non-profit
 - Proprietorship
 - Partnership
 - Corporation
20. Which of the following is *not* used to calculate depreciation expense?
- Cost
 - Salvage Value
 - Replacement Value
 - Useful Life

21. Dividends are declared by the _____ of a corporation.
- A. CEO
 - B. CFO
 - C. Board of Directors
 - D. Treasurer
22. How often does a corporation pay unemployment tax to the government?
- A. Biweekly
 - B. Semimonthly
 - C. Monthly
 - D. Quarterly
23. Writing a check from the business bank account payable to the owner of a sole proprietorship is an application of what accounting concept?
- A. Historical Cost
 - B. Going Concern
 - C. Business Entity
 - D. Adequate Disclosure
24. Which of the following assets will not have a related contra account?
- A. Building
 - B. Land
 - C. Equipment
 - D. Accounts Receivable
25. What account is classified as another revenue account in the chart of accounts?
- A. Sales Discount
 - B. Interest Income
 - C. Loss on Plant Assets
 - D. Purchases Discount
26. What is the calculation for return on assets?
- A. $\text{Net Income} / \text{Total Assets}$
 - B. $\text{Net Income} / \text{Current Assets}$
 - C. $\text{Total Assets} / \text{Net Income}$
 - D. $\text{Current Assets} / \text{Net Income}$
27. The primary difference between the Income Statement for a merchandising business as opposed to that of a service business is the _____.
- A. contra revenue accounts.
 - B. calculation of component percentages
 - C. possibility of a net loss.
 - D. cost of goods sold section.

28. What effect does declaring a dividend have on net income for a corporation?
- A. Decreases net income
 - B. Increases net income
 - C. Decreases net income as long as it's paid in the same period
 - D. Has no effect on net income
29. What effect does the Allowance for Uncollectible Accounts have on the Balance Sheet?
- A. Decreases assets
 - B. Increases assets
 - C. Decreases liabilities
 - D. Increases liabilities
30. Your company purchases merchandise with a list price of \$5,000. The vendor offers a trade discount of 40%. What is the debit to Purchases?
- A. \$2,000
 - B. \$3,000
 - C. \$5,000
 - D. \$7,000

Account Identification – 45 points

Directions: For each account name below, indicate its classification, normal balance side, and on which financial statement(s) the account appears. More than one financial statement may be necessary on select accounts. Use the appropriate abbreviations.

<u>Classifications</u>	<u>Normal Balance</u>	<u>Financial Statements</u>
A = Asset	Dr = Debit	BS = Balance Sheet
L = Liability	Cr = Credit	IS = Income Statement
SE = Stockholders' Equity	N = Neither	SOSE = Statement of Stockholders' Equity
R = Revenue		N = None
C = Cost of Goods		
E = Expenses		

<u>Account Name</u>	<u>Classification</u>	<u>Normal Balance</u>	<u>Financial Statement(s)</u>
Accumulated Depreciation	_____	_____	_____
Fees Revenue	_____	_____	_____
Building	_____	_____	_____
Bad Debts Expense	_____	_____	_____
Unemployment Tax Payable	_____	_____	_____
Dividends	_____	_____	_____
Income Summary	_____	_____	_____

Supplies Expense	_____	_____	_____
Capital Stock	_____	_____	_____
Purchases Discount	_____	_____	_____
Sales	_____	_____	_____
Merchandise Inventory	_____	_____	_____
Unearned Fees	_____	_____	_____
Payroll Taxes Expense	_____	_____	_____
Prepaid Rent	_____	_____	_____

Short Answer Problems – 48 Total points

1. On March 3rd, Frasier Inc. purchases merchandise on account with a list price of \$35,750 and is given a trade discount of 40%. Terms of the sale are 2/10, n/30. How much would Frasier pay if the invoice is paid on the following dates:

a. March 12th _____

b. March 15th _____

2. Rodriguez Corp. shows the following information on its Statement of Stockholders' Equity for 2022.

- Capital Stock, \$10 par value – Jan. 1 balance, 20,000 shares; additional shares issued August 10th – 500
- Retained Earnings – Jan. 1 balance, \$110,450
- Dividends Declared - \$0.50 per share, Jan 31st, April 30th, July 31st, Oct 31st
- Net Income for 2022 - \$61,365

Find the following balances that would be shown on the December 31, 2022 Statement of Stockholders' Equity:

a. Capital Stock Balance _____

b. Retained Earnings Balance _____

c. Total Stockholders' Equity _____

3. On March 15, Steinhagen Services signed a \$3,100, 4.5%, 90-day Promissory Note with First National Bank.

a. How much cash did Steinhagen receive on March 15th? _____

b. What is the maturity date of the note? _____

c. What is the maturity value that Steinhagen will pay? _____

4. Simpson Sporting Goods purchases new equipment for its warehouse on January 6th, 2023. The cost of the equipment totals \$20,000. The salvage value is estimated to be \$4,000, and Simpson estimates it will get 5 years useful life out of the equipment. Simpson uses the straight-line method of depreciation.
- What is the annual depreciation expense on the equipment? _____
 - What is the book value of the equipment on Dec 31, 2023? _____
 - What is the book value of the equipment on Dec 31, 2024? _____
 - If Simpson sold the equipment on January 2nd, 2026 for \$8,000, would it recognize a gain or a loss on the sale? _____
 - How much is the gain or loss? _____
5. Carver Electronics shows a January 1st Merchandise Inventory balance of \$124,368. During 2023 Carver has Purchases of \$92,477, purchases returns of \$4,365, and Purchases Discounts of \$3,610. The December 31st Merchandise on hand equals \$132,225.
- What are the net Purchases for Carver for 2023? _____
 - What is the Cost of Goods Available for Sale for 2023? _____
 - What is the Cost of Goods Sold for 2023? _____

Job 1 – Financial Analysis - 48 points

Selected financial information for Johnson Pet Supplies is shown below. All balances are after adjusting entries have been posted, unless otherwise noted. Use the information to find the given balances or ratios.

Cash - \$45,350
 Accounts Receivable - \$21,690
 Merchandise Inventory - \$95,360
 Supplies - \$3,400
 Equipment - \$57,450
 Accounts Payable - \$30,630
 Sales Tax Payable - \$6,120
 Other Current Liabilities - \$20,710
 Long-Term Notes Payable - \$18,300
 Capital Stock - \$50,000 (25,000 shares outstanding)
 Beginning Retained Earnings - \$54,760
 Dividends - \$15,000
 Net Sales - \$482,120
 Net Purchases - \$284,360
 Cost of Goods Sold – \$214,430
 Operating Expenses - \$184,400
 Federal Income Tax Expense - \$25,560

- a. Total Current Assets _____
- b. Total Assets _____
- c. Total Current Liabilities _____
- d. Total Liabilities _____
- e. Ending Retained Earnings _____
- f. Total Stockholders' Equity _____
- g. Total Liabilities & Stockholders' Equity _____
- h. Gross Profit _____
- i. Net Income After Tax _____
- j. Return on Assets _____
- k. Return on Sales _____
- l. Working Capital _____
- m. Current Ratio _____
- n. Debt Ratio _____
- o. Debt to Equity Ratio _____
- p. EPS _____

Job 2 – Analyzing Transactions Using Special Journals – 45 points

On the following page, analyze the transactions Skelton Sporting Goods into their debit and credit parts using the account numbers below. Skelton is a merchandising business organized as a corporation. Some transactions might have multiple debits and credits. All must be shown to be correct. Identify which special journal the transaction would be recorded as shown below.

Special Journals

P	-	Purchases Journal
S	-	Sales Journal
CP	-	Cash Payments
CR	-	Cash Receipts
G	-	General Journal

Chart of Accounts

110	Cash
120	Accounts Receivable
130	Notes Receivable
140	Merchandise Inventory
150	Supplies
160	Prepaid Rent
210	Accounts Payable
220	Notes Payable
230	Sales Tax Payable
240	Dividends Payable
310	Capital Stock
320	Retained Earnings
330	Dividends
340	Income Summary
410	Sales
420	Sales Discounts
430	Sales Returns and Allowances
440	Interest Income
510	Purchases
520	Purchases Discounts
530	Purchases Returns and Allowances
610	Advertising Expense
620	Interest Expense
630	Miscellaneous Expense
640	Rent Expense
650	Supplies Expense
660	Utilities Expense

	<u>Journal</u>	<u>Debit</u>	<u>Credit</u>
1. Paid ABC Storage in advance for three month rental of storage space.	_____	_____	_____
2. Sent a check to Smith Electric for electric bill	_____	_____	_____
3. Sold merchandise on account to Bill Kelmer, plus sales tax. Terms of sale are 2/10, n/30	_____	_____	_____
4. Ordered merchandise on account from Williams Sports. Terms of sale are 2/10, n/30	_____	_____	_____
5. Received payment in full from Bill Kelmer 7 days after transaction #3.	_____	_____	_____
6. Merchandise from transaction #4 was received. Some baseball gloves were incorrect model, vendor granted an allowance of 25%.	_____	_____	_____
7. Made payment to Williams Sports, reflecting original invoice minus allowance from prior transaction. Payment made within 10 days.	_____	_____	_____
8. Board of Directors declared dividend	_____	_____	_____
9. Received promissory note from Kayla Deitz for outstanding accounts receivable	_____	_____	_____
10. Made electronic funds transfer to Daily News for newspaper advertisement.	_____	_____	_____
11. Bought merchandise from K&R Shoes. Paid half now. Terms of sale are 2/10, n/30.	_____	_____	_____
12. Sold merchandise to Annie Potts, plus sales tax. Annie paid in full at the time of the sell.	_____	_____	_____
13. Received payment in full from promissory note from Kayla Deitz, plus interest.	_____	_____	_____
14. Paid dividends from transaction #8	_____	_____	_____
15. Recorded adjusting entry showing net income for the year.	_____	_____	_____